

about 48 per cent of respondents. That, in turn, is likely to help improve corporate profitability.

But it's a rocky road and there is some guarded optimism on the economic situation in Q3FY24, with the index logging a marginally lower score of 5.2, as against 5.3 for the previous quarter.

Sinha of CareEdge warns that headwinds have grown in the past few months in the form of external uncertainty as well as a probability of high interest rates globally. "In the domestic economy, consumption demand remains skewed towards higher-end consumption. At the lower price points, consumption demand remains a concern. Rural demand has been muted and there have been concerns about the monsoon rains and kharif sowing that could further impact rural demand," she further notes.

16 | The Israel-Hamas war has also dented confidence to some extent. A third of the businesses surveyed were asked two additional questions about the impact of the conflict on their business prospects, and the results were sobering. As many as 49 per cent of respondents believe the conflict will impact their business in some way, while 61 per cent expect it to lead to higher inflation in Q3.

"For India, the major impact will be through oil prices, which, if sustained at high levels, can lead to higher inflation, current account deficit and fiscal pressures. Hence, it is a key monitorable," Joshi notes.

There are numerous challenges and how each of these is navigated will be crucial not just for retaining business confidence, but also for ensuring a full recovery in private investments and maintaining the course of economic growth in FY25. **BT**

@surabhi_prasad

BANKING

Steady Hand

Ashok Vaswani's entry as MD and CEO paves the way for Kotak Mahindra Bank's new journey

BY ANAND ADHIKARI

► **WHEN ASHOK VASWANI** was a young adult in the '70s and '80s, his uncle owned a shop in a five-star hotel in South Mumbai. Every year during the holidays, he would work at the shop, a duty he gladly accepted. He'd land at the store and sell merchandise all day. The hotel's lively environment—foreign tourists bustling around, smartly dressed people gathering to meet—always captured his fancy, making him think of working in the hospitality industry some day.

As fate would have it, he embarked on a remarkable, nearly four-decade global banking journey that has seen him work in the UK, Africa, Europe, Turkey and the Middle East. He has also made significant career transitions during this period, from the US-based Citigroup to the UK's Barclays group. In June 2022, he took up another assignment—as Presi-

dent at the US-based AI-enabled fintech firm Pagaya.

That's why, when Kotak Mahindra Bank (KMB) announced it had received the RBI's approval to appoint Vaswani as the next MD and CEO, it took many by surprise. But, from Founder and Director Uday Kotak's standpoint, Vaswani's addition is another crucial cog in the wheel that he had set in motion. For instance, he had already deployed a new strategy and gathered a global team to transform the bank into a tech-savvy institution, before hanging up his boots in September. "The chess board was ready with the lone exception of the king," says an insider, requesting anonymity. "Vaswani's placement has completed the team."

KMB's new strategy is all about achieving customer excellence on par with global tech firms like Amazon, as the tech-induced disruption pulls down old banking structures. And Vaswani fits the bill. A year ago, he had said, "One of the things that technology has done is completely disrupt the silos within which banks and financial institutions serve their customers. They are still organised by corporations and consumers, and technology is rapidly break-

**VASWANI'S
ADDITION IS
CRUCIAL TO
TRANSFORM
THE BANK INTO
A TECH-SAVVY
INSTITUTION**